

Many traders have switched to manufacturing by just importing the goods in semi-knocked-down form. They are cheating the government by obtaining populated PCBs almost as finished products in disassembled form.

That should be prohibited. Introduction of SAD is not going to affect motherboard manufacturers that much as they will get the import credit for the same. It will help EMS companies.” —**Nitin Kunkolienker, VP, MAIT**

BCD is being exempted on specified raw materials used in the manufacture of micro-fuses, sub-miniature fuses, resettable fuses and thermal fuses. Further, BCD has been reduced to 2.5 per cent on neodymium magnets and magnet resins used to manufacture brushless DC motors, subject to actual user conditions.



Reduction of BCD on specified capital goods used in the manufacture of various fuses is a boost to component manufacturing and will enrich the supply chain.” —**M.N. Vid-yashankar, president, IESA**

“Some specific recommendations of ELCINA, which were pending since many years, have also been addressed this year, and this is one of them.” —**Rajoo Goel, secretary general, ELCINA**

BCD and SAD have been exempted for machinery, electrical equipment, other instruments and their parts (except populated PCBs) used for the assembly, testing, marking and packaging of semiconductor chips and liquid crystal display fabrication units, subject to actual user conditions.



“By this, the government is hoping to create an environment that encourages the setting up of fabs in India.” —**Maresh Jaising, partner at BMR & Associates, LLP**
“The government has already introduced incentive

schemes like MSIPS to encourage the setting up of fabs in India. This amendment is another positive gesture by the government as it will reduce the capex costs involved in setting up fabrication units.” —**Nitin Kunkolienker, VP, MAIT**

Steps taken for ease of doing business

1. Indirect Tax Dispute Resolution Scheme, 2016, has been introduced with the Union Budget 2016-17. It will be effective from June 1, 2016. Its salient features are:

- An appeal pending before the commissioner (appeals) with respect to an impugned order as on March 1, 2016, will qualify for declaration to be filed on or before December 31, 2016.
- The declarant has to pay tax along with interest and penalty equal to 25 per cent of the penalty imposed in the impugned order within 15 days from the date of acknowledgement of the declaration, and the designated officer will pass an order of the discharge of dues.

2. IGCR-1996 has been amended to IGCR-2016. Key features are:

- End use certification, which was to be obtained from the local deputy commissioner, excise, has been waived.
- Reporting time for imported goods in the manufacturing facility has been increased from one day to two working days (excluding holidays).
- Instead of approval, the excise (AC/DC) officer will now forward a copy of the application to the AC/DC, customs.
- Import plan for the full year submitted to customs and excise departments need not be monitored by the authorities for each import, and returns can be filed on a quarterly/yearly basis.

Reference: Amendment in The Customs Act, 1962, Vide No. 32/2016 - Customs (N. T.)